

International Bank AML Policies

This document outlines 10 key anti-money laundering (AML) policies implemented by international banks to prevent, detect, and report illicit financial activities, including the use of proxy data to obscure transactions. These policies align with global standards such as those set by the Financial Action Task Force (FATF) and regulations like the U.S. Bank Secrecy Act (BSA) and EU Anti-Money Laundering Directives.

1. Customer Due Diligence (CDD)

Banks must verify customer identities and understand their business relationships. This includes collecting identification documents, assessing account purposes, and applying enhanced due diligence (EDD) for high-risk customers, such as those using proxy entities to hide ownership.

2. Know Your Customer (KYC)

KYC processes involve gathering detailed customer information, including source of funds, occupation, and beneficial owners. This helps detect proxy data used to mask ownership, such as shell companies or nominee accounts.

3. Transaction Monitoring

Real-time and post-transaction monitoring systems detect suspicious activities, such as unusual patterns or transfers to high-risk jurisdictions. Automated systems flag transactions that may involve proxy data to obscure illicit funds.

4. Suspicious Activity Reporting (SAR)

Banks file SARs with financial intelligence units (e.g., FinCEN in the U.S.) for transactions indicating potential money laundering or terrorist financing. Reports include detailed transaction data and are filed promptly.

5. Risk-Based Approach (RBA)

A risk-based approach prioritizes resources on high-risk customers, products, or regions. This includes assessing risks from proxy data, such as transactions through intermediaries or weak AML jurisdictions.

6. Record-Keeping

Banks maintain records of customer identities, transactions, and due diligence for at least five years (or as required by local regulations) to ensure traceability of funds, even when proxy data is used.

7. Sanctions and PEP Screening

Customers and transactions are screened against global sanctions lists and politically exposed persons (PEP) databases to detect attempts to bypass restrictions using proxy accounts or entities.

8. Staff Training

Regular training educates employees on AML regulations, red flags, and proxy data exploitation techniques. This ensures staff can recognize and report suspicious activities effectively.

9. Internal Controls and Audits

Banks establish internal policies and controls for AML compliance, with independent audits conducted annually to test their effectiveness, including detection of proxy data misuse.

10. International Cooperation

Banks collaborate with global regulators and financial intelligence units to share information on cross-border transactions, aligning with FATF recommendations to combat proxy data schemes.